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30-Year Fixed Conventional Loan

The 30-year fixed conventional loan is the Company's most widely originated product. It features a fixed interest rate for the entire 30-year term, providing borrowers with a predictable monthly principal and interest payment. Typical interest rates range from 6.50% to 7.25% depending on the borrower's credit profile, loan-to-value ratio, and market conditions at the time of rate lock. The minimum down payment is 3% of the purchase price for primary residences, though borrowers putting down less than 20% are required to carry private mortgage insurance (PMI).

To qualify, borrowers must have a minimum credit score of 620. The Company applies its standard maximum back-end DTI ratio of 40% for conventional products. This loan is best suited for borrowers who plan to stay in the home for a long period and value payment stability. The 30-year term results in lower monthly payments compared to shorter-term products, though total interest paid over the life of the loan is higher.

15-Year Fixed Conventional Loan

The 15-year fixed conventional loan offers a fixed interest rate over a shorter repayment period, resulting in significant interest savings compared to the 30-year product. Typical interest rates range from 5.75% to 6.50%, generally 0.50% to 0.75% lower than the 30-year equivalent. The minimum down payment is 3% for primary residences, with PMI required for LTV ratios above 80%.

Monthly payments are substantially higher than the 30-year product due to the compressed repayment schedule. Borrowers must meet a minimum credit score of 620 and the Company's 40% maximum back-end DTI ratio. This product is best suited for borrowers with higher income who want to build equity faster and minimize total interest cost. The Company recommends that borrowers choosing this product demonstrate sufficient cash reserves to manage the higher payment comfortably.

FHA Loan

The FHA loan is a government-backed product insured by the Federal Housing Administration, designed to expand access to homeownership for borrowers who may not qualify for conventional financing. The minimum down payment is 3.5% for borrowers with a credit score of 580 or above. Borrowers with credit scores between 500 and 579 must provide a minimum 10% down payment. Typical interest rates range from 6.25% to 7.00%, and the Company follows standard FHA DTI guidelines of 31% front-end and 43% back-end without additional overlays.

All FHA loans require an upfront mortgage insurance premium (UFMIP) of 1.75% of the base loan amount, which may be financed into the loan, and an annual mortgage insurance premium (MIP). For 30-year loans with an LTV greater than 90%, MIP is required for the life of the loan. The FHA loan is well suited for first-time homebuyers, borrowers with lower credit scores, or those with limited funds for a down payment. The property must meet HUD minimum property requirements as verified through the FHA appraisal process.

VA Loan

The VA loan is available exclusively to eligible veterans, active-duty service members, and qualifying surviving spouses, backed by the U.S. Department of Veterans Affairs. This product requires no down payment and does not require private mortgage insurance, making it one of the most favorable financing options available. Typical interest rates range from 6.00% to 6.75%, often lower than conventional rates due

to the government guarantee. The Company does not impose a hard DTI cap on VA loans but uses residual income analysis to assess the borrower's ability to cover living expenses after housing costs.

A VA funding fee applies, ranging from 1.25% to 3.30% of the loan amount depending on the borrower's service category, down payment amount, and whether it is a first or subsequent use. The funding fee may be financed into the loan. Disabled veterans with a service-connected disability are exempt from the funding fee. The Company requires a Certificate of Eligibility (COE) to verify entitlement. VA loans may be used for primary residences only and the property must meet VA minimum property requirements.

Jumbo Loan

The jumbo loan is designed for loan amounts that exceed the conforming loan limit established by the Federal Housing Finance Agency, which is \$766,550 for 2024 in most areas and higher in designated high-cost areas. The Company requires a minimum 10% down payment for jumbo loans, though 20% or more is strongly recommended to avoid additional pricing adjustments. Typical interest rates range from 6.75% to 7.50%, reflecting the additional risk associated with larger loan balances.

Jumbo loan underwriting follows enhanced standards: the minimum credit score is 700, the maximum back-end DTI ratio is 38%, and borrowers must demonstrate at least 12 months of reserves covering the proposed housing payment. All jumbo loans must be underwritten by a senior underwriter and require a second review. For loan amounts exceeding \$1.5 million, the property appraisal must include a second comparable analysis. This product is appropriate for borrowers purchasing higher-value properties who have strong credit profiles and substantial assets.

USDA Loan

The USDA loan, backed by the U.S. Department of Agriculture through its Rural Development program, offers 100% financing with no down payment for eligible borrowers purchasing homes in qualified rural or suburban areas. Typical interest rates range from 6.25% to 7.00%, competitive with FHA rates. The program is designed to promote homeownership in less densely populated areas and includes geographic and income eligibility requirements.

Borrowers must have a household income at or below 115% of the area median income to qualify. The Company follows standard USDA DTI guidelines of 29% front-end and 41% back-end. A guarantee fee of 1.00% of the loan amount is charged upfront and may be financed, along with an annual fee of 0.35% of the average scheduled unpaid balance. The minimum credit score accepted by the Company for USDA loans is 640, which is above the program minimum but consistent with the Company's risk management standards. Eligible properties must be located in USDA-designated rural areas as verified through the USDA eligibility map.

5/1 Adjustable-Rate Mortgage

The 5/1 adjustable-rate mortgage (ARM) offers a fixed interest rate for an initial period of five years, after which the rate adjusts annually based on a specified index plus a margin. The initial rate is typically 0.50% to 1.00% lower than comparable 30-year fixed rates, with typical initial rates ranging from 5.75% to 6.50%. The minimum down payment is 5% for primary residences, with PMI required for LTV ratios above 80%.

After the initial five-year period, the rate adjusts based on the Secured Overnight Financing Rate (SOFR) plus a margin of 2.75%. Rate adjustment caps limit changes to 2% per adjustment period and 5% over the life of the loan. The Company requires a minimum credit score of 640 and applies the standard 40% maximum back-end DTI ratio. This product is best suited for borrowers who plan to sell or refinance within

five to seven years and want to benefit from a lower initial rate. The Company requires that borrowers qualify at the fully indexed rate plus 2% to ensure they can manage potential payment increases.